

July 29, 2022

Postal Regulatory Commission

901 New York Avenue NW, Suite 200

Washington, DC 20268-0001

Via email: Stakeholderinput@prc.gov

Dear Postal Regulatory Commissioners:

These comments are submitted on behalf of the Association of National Advertisers (ANA) and the ANA's Nonprofit Federation (ANA NF) in response to the recent request by the Postal Regulatory Commission (PRC) for stakeholder input regarding rates and the rate-setting process, as required by Congress.¹ As key postal stakeholders, we appreciate the opportunity to submit comments during a challenging economic period for the mailing community. For the reasons outlined in this letter, we urge you to reconsider the two rate flexible mechanisms you provided (i.e., density and offset of the prefunded future retiree liability formulas) to the United States Postal Service (USPS) in November 2020 and instead to reinstate the previous CPI rate-setting mechanism.

The ANA's mission is to drive growth for marketing professionals, brands and businesses, the industry, and humanity. The ANA serves the marketing needs of 20,000 brands by leveraging the 12-point ANA Growth Agenda, which has been endorsed by the Global CMO Growth Council. The ANA's membership consists of U.S. and international companies, including client-side marketers, nonprofits, fundraisers, and marketing solutions providers (data science and technology companies, ad agencies, publishers, media companies, suppliers, and vendors). The ANA creates Marketing Growth Champions by serving, educating, and advocating for more than 50,000 industry members that collectively invest more than \$400 billion in marketing and advertising annually.

The ANA NF, an organization established in 1982, brings nonprofit organizations and the marketing community together as a catalyst for change. The ANA NF has continuously provided top-quality fundraising education, advocacy, sponsorship and ethical standards for the nonprofit data-driven fundraising community. It represents over 200 nonprofit organizations and 50 agencies that work on their behalf to advance missions and help raise over \$450 billion in donations each year.

The USPS is a critically important government agency that serves our members and reaches every household six days a week. We have long been concerned about the health of the USPS

¹ Joint Explanatory Statement, Division E—Financial Services and General Government Appropriations Act, 2022, at 49, 162 Cong. Rec. H1709, H2356 (daily ed. Mar. 9, 2022).

due to the societal shift from paper-based to digital communications, which offer low-cost and immediate delivery. Despite this challenge, mail remains a strong communications channel for ANA's and the ANA NF's commercial and nonprofit members. In fact, in the 2021 ANA Response Rate Report², 38% of the respondents reported using direct mail as part of their marketing mix with an excellent return on investment of 112%. Marketing mail continues to be a key factor in planning future campaigns, whether for products and services, small business offers, packages, or nonprofit outreach and fundraising solicitations that support missions across America and internationally.

Marketers and fundraisers count on the USPS (the vital national communications channel and provider of marketing mail and the nonprofit subclasses) to deliver a stable set of postal services at affordable rates. Marketers' and fundraisers' reliance on the USPS is critical to budget planning and dependable delivery of mail and packages.

For years, the mailing community supported the current rate-setting approach in the postal reform law (the Postal Accountability and Enhancement Act) because it afforded a sound and predictable rate process instead of past postal rate cases that had caused instability and uncertainty for mail customers. Now, however, the outlook for mail customers is more uncertain and complex. Without the PRC's active engagement, the USPS' needed positive business growth will stall, as its customers turn to digital as a less expensive and more effective alternative and/or reduce their spending.

These recent actions are a cause of great concern to our members:

- In November 2020, the PRC changed the rate-setting process based on the 10-year rate review process to add 2 mechanisms (the density-driven formula and offset of the prefunded future retiree liability formula) allowing the USPS more flexibility in setting its rates. *This change has led to increased rates.*
- Postmaster General DeJoy's recent 10-year plan (Delivering for America) seeks to close a funding gap of \$160 billion by increasing rates multiple times on mailers and relaxing mail delivery service standards.³ *This plan ensures that future mail customers have no other options but to pay more for less.*

These actions were taken even though Congress, to assist the USPS and its customers, provided \$10 billion in funding from an emergency relief fund to help alleviate USPS costs during the COVID-19 pandemic. Later, Congress passed a new law (the Postal Reform Act of 2022) that removes the prefunding requirement for retiree health benefits. The significant majority of the losses USPS incurred were accounting losses due to the prefunding requirement. These actions

² This ANA report highlights benchmark performance and cost data across direct marketing channels, including direct mail, digital display, e-mail and social media.

³ <https://www.linns.com/news/postal-updates/pmg-dejoy-declares-usps-rate-increases-will-continue>

have led to improved finances for the USPS, and possibly more importantly, removed a major concern in the PRC 10-year rate review changes.

ANA's and ANA NF's members, as well as others, have been asked to pay more in a significant way for the past 18 months. The increase can be almost 20% based on the type of mail category used by the mailer, and the heightened rate is partially a result of the PRC's decision in 2020 to grant new rate flexibility to the USPS when its outlook was far worse than it is today. The USPS – with the approval of the PRC -- just raised rates again in July and intends to continue raising rates twice each year.

The increases in rates for mailers can be as high as 60%, posing difficulties for charities who are without many alternatives. In short, the USPS is asking its customers to fund its services at a higher rate while reducing those services pursuant to its strategic plan. Clearly, this is not an acceptable request.

Mailers such as ANA's and ANA NF's members cannot foresee an end to rate increases, and so must consider other options if this plan is not changed. Our members recently responded to an informational survey by ANA's Postal Advisory Council seeking input on the impacts of the postal rate increase and reported the following significant effects:

- Nearly 90% of respondents have been impacted by postal rate increases, paper shortages and paper price increases.
- As a result, 30% are planning fewer mailings.
- 45% are planning to limit the volume and reach of the mailings.
- 27% are shifting more budget to digital.

Undoubtedly, the PRC's role as an independent agency that provides rate-setting review authority, transparency and accountability for the USPS is critically important. We seek a reasonable approach to rate-setting that will not further accelerate the reduction in postal volume caused by the shift to digital communications. Rather than nonstop rate increases, a more reasonable approach would allow the strategies and planning to succeed while providing a more steadied approach for mail customers.

We urge the PRC to reconsider the flexible rate mechanisms provided to the USPS in 2020 and, with the retiree health benefit prefunding requirement eliminated, to reinstate the CPI rate-setting mechanism that previously worked so well.

We appreciate the opportunity to provide these comments during the stakeholder input process and urge you to review and consider proactive steps to revise the rate-setting mechanism to alleviate the looming mail crisis that will prove so devastating for ANA's and ANA NF's members and others who rely on postal services for marketing activities.

Thank you for your review and consideration.

Respectfully submitted,

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